

2 Interest Coverage Ratios

The interest Coverage Ratio is used to assess how easily a business can repay the interest on its outstanding debt. In simple terms, it means how easily the entity can cover its interest expenses through its profits or earnings.

For instance, **Company A**

has,

Earnings = Rs. 700 Cr.

Interest = Rs. 100 Cr.

We are reasonably confident that **we can pay the interest** on our debt.

has,

Earnings = Rs. 150 Cr.

Interest = Rs. 100 Cr.

Business might be **unable to pay back** the interest.

And, if

Formula: **EBIT / Interest**

Where **EBIT = Earnings before interests and taxes**

To calculate the interest coverage ratio,

Now when we look at the balance sheet of Apar industries we get:

PBT (Profit before tax) = Rs. 208 Cr.

+ Interest (Finance Cost) = Rs. 136 Cr.

So for EBIT we will have to add PBT and interest amount.

EBIT = PBT + Interest Amount = Rs. 344 Cr.

Interest Coverage Ratio = EBIT / Interest

= 344 / 136 = 2.5 Times

Here we can say that interest is fairly covered.

The Debt to Equity ratio is low and the interest is well covered. Therefore, we can conclude that Apar Industries is solvent in the long run and is not under any threat.